

EARLY LOAN PAYOFF FEES

Loan Type	Payoff Occurs in 0-60 days ³	Payoff Occurs in 61-180 days ³
Conventional loans ¹	Greater of total premium price or 1.50% of original loan amount	1.50% of original loan amount
Government loans ²	Greater of total premium price or 1.75% of original loan amount	1.75% of original loan amount
Non-conforming loans	Total premium price	Total premium price

1. Includes all loans sold to Fannie Mae or Freddie Mac

2. Includes all FHA, VA and USDA loans

3. Payoff periods measured from date loan is funded/purchased by Flagstar

Total premium price is all above par pricing paid by Flagstar regardless of the amount retained by Seller. For broker loans this includes any above par pricing used to pay compensation, fees or other third party costs by the borrower. In addition, Flagstar reserves the right to recoup any additional premiums, incentives or bonuses paid to the Seller in relation to the purchase of the subject loan.

HOME EQUITY LINES OF CREDIT (HELOC)

For HELOCs (concurrent or stand-alone) paid in full where the line of credit is closed within 180 days of initial disbursement, the Early Loan Payoff Fee will be equal to the compensation paid to the Seller. This fee will not apply to HELOCs which are paid down to \$0 balance but where the line of credit remains open and available for future draws.

COLLECTION OF ELP FEES

An invoice will be sent to all Sellers who have loans with early payoffs on a monthly basis. Payment for all ELP fees should be remitted within 30 days of the initial billing. Failure to do so may result in the deduction of future premiums until the past due amount due is satisfied, including any late charges or processing expenses associated with collection.

AMENDMENT TO ELP FEES

Upon written notification, Flagstar Bank reserves the right to modify the number of days in which Seller will incur an ELP fee from funding/purchase by Flagstar.

Flagstar will exercise this right if seller is found to have an unacceptable percentage of mortgage loans pay off as measured by the Customer Profile Report. If the early loan payoff trend is excessively high or continued over an extended period of time, Flagstar also reserves the right to terminate the business relationship.